1. Product Overview

"Huaxia Stable Growth 365" is a hybrid public wealth management product issued by Huaxia Bank Co., Ltd. The product primarily invests in fixed-income assets (min 60% allocation) supplemented by equity assets (max 30% allocation). It adopts a "defensive core + flexible satellite" strategy, aiming to deliver excess returns while preserving principal safety.

Product Registration Code: C202404150001
Issuer: Huaxia Bank Co., Ltd.
Investment Manager: Huaxia Wealth Management Co., Ltd.
Custodian Bank: China Construction Bank Corporation
Subscription Period: January 10, 2025 - January 17, 2025
Value Date: January 18, 2025
Maturity Date: December 31, 2025
Product Term: 347 days
Operation Mode: Closed-end NAV-based
Risk Rating: R2 (Conservative - suitable for conservative investors and above)

2. Fee Structure

Fee Item	Rate	Charging Timing	Notes
Subscription Fee	0.30%	Deducted at subscription	Waived for >= 1M CNY
Mgmt Fee (Fixed)	0.60%/year	Accrued daily, paid monthly	Pre-deducted from NAV daily
Custodian Fee	0.05%/year	Accrued daily, paid monthly	Paid to custodian bank
Mgmt Fee (Floating)	20% of excess return	Deducted at maturity	On return above 4.0% benchmark
Redemption Fee	0.00%	N/A	Auto-redeemed at maturity, no fee
Distribution Fee	0.20%/year	Accrued daily, paid monthly	Paid to distribution channel

Fee Example: Assume an investor subscribes CNY 100,000 and holds to maturity. Fixed management fee is approx. CNY 600/year (accrued daily). If the product delivers 5.2% annualized return at maturity, the excess over the 4.0% benchmark is 1.2%. Floating management fee = 100,000 x 1.2% x (347/365) x 20% = approx. CNY 228.

3. Investment Scope & Asset Allocation

The product invests in the following asset classes with target allocation ranges:

(A) Fixed-Income Assets (Target Allocation: 60% - 85%)
1. Government bonds, central bank bills, policy bank bonds - minimum 10%
2. Commercial bank bonds, corporate bonds, medium-term notes - minimum 20%
3. Standardized Asset-Backed Securities (ABS) - maximum 15%
4. Negotiated deposits, large-denomination CDs - minimum 10%

(B) Equity Assets (Target Allocation: 0% - 30%)
1. A-share stocks (including preferred shares) - maximum 20%

2. Equity mutual funds - maximum 10%
3. This product does NOT invest in ST stocks, *ST stocks, or NEEQ stocks.

(C) Liquid Assets (Target Allocation: 5% - 15%)

1. Bank deposits, money market funds, reverse repos (<= 7 days) - minimum 5%

(D) Prohibited Investments

This product does NOT invest in offshore derivatives, unlisted equity, REITs, or any leveraged financial instruments.

4. Performance Benchmark & Income Distribution

Performance Benchmark (Annualized): 4.0%

Benchmark Calculation Basis: Based on the product's target asset allocation, assuming a bond portfolio yield of 3.2% and equity dividend + capital gain contribution of 0.8%, weighted to form the composite benchmark. The benchmark is a target the manager strives to exceed and does NOT constitute a guarantee of principal or return.

Income Distribution Rules:

- This is a closed-end NAV-based product; no income distribution during the term.
- At maturity, all net income after fees belongs to the investor.
- If the unit NAV at maturity is below 1.0000 (i.e. principal loss), the manager shall refund 50% of the fixed management fee collected to the investor (see Section 8: Risk Protection).

5. Redemption Rules & Liquidity Arrangements

(A) Normal Maturity Redemption

Within 3 business days after the maturity date (December 31, 2025), funds are automatically transferred to the investor's account. Redemption fee: 0.

(B) Early Redemption (including urgent liquidity needs)

Early redemption is permitted under the following two circumstances:

1. If the investor urgently needs funds due to major illness, home purchase down payment, children's education expenses, etc., and obtains manager approval, early redemption may be processed on the last business day of each quarter end (March, June, September, December). An early redemption penalty of 0.50% is charged (deducted directly from the redemption proceeds), and funds arrive within 5-7 business days after the application is submitted.
2. During the subscription period (January 10-17, 2025), subscriptions may be cancelled unconditionally with a full refund and no fees.

(C) Mass Redemption

If cumulative redemption applications on a single redemption date exceed 10% of total product units, this constitutes a mass redemption event. The manager may extend payment to 15 business days and allocate available redemption quota on a pro-rata basis.

6. Risk Disclosure & Suitable Investor Profile

This product is rated R2 (Conservative). Key risks are as follows:

1. Interest Rate Risk: Bond prices move inversely to market interest rates. If the central bank raises rates, existing bond holdings may decline in value, potentially causing temporary NAV drawdowns.
2. Credit Risk: Issuers of corporate bonds and ABS in the portfolio may default, resulting in failure to pay principal or interest on time. To control credit risk, the product limits any single corporate bond to 3% of the portfolio and requires a minimum credit rating of AA+ for all bond investments.
3. Equity Market Volatility Risk: Equity asset prices are influenced by macroeconomics, policy, market sentiment, and other factors. Maximum drawdown is expected not to exceed 5%.
4. Liquidity Risk: This is a closed-end product. Redemption is generally not permitted during the term. Investors should ensure the invested funds will not be needed for the full 347 days.
5. Management Risk: Errors in asset allocation or security selection by the investment manager may adversely affect actual returns.

Suitable Investor Profile:

This product is suitable for investors with risk rating R2 (Conservative) or above. Investors should meet the following criteria:

- Able to tolerate moderate NAV volatility (max drawdown <= 5%)
- No liquidity needs for the invested funds within 347 days
- Basic understanding of financial markets; understands that wealth management products do not guarantee principal or returns
- Possesses reasonable risk identification and judgment capability

7. Information Disclosure & Investor Inquiry Channels

1. The product's unit NAV is published every weekend. Investors may check it via the Huaxia Bank mobile banking app, internet banking, or any branch nationwide.
2. A quarterly asset operation report is published, disclosing asset allocation details and the top 10 bond/stock holdings as of the reporting date.
3. If an event occurs that materially affects the product's return or risk profile (e.g. bond rating downgrade, fee adjustment, early termination), the manager shall issue a temporary announcement within 3 business days.
4. For any questions about the product, investors may call the customer service hotline at 95577 (24/7 service).

8. Risk Protection Provisions

1. If the unit NAV at maturity falls below 1.0000 (i.e. principal loss occurs), the manager commits to:
   (a) Refund 50% of the fixed management fee collected to the investor;
   (b) Not charge any floating management fee.
2. Huaxia Bank Co., Ltd. serves as the credit enhancement party for this product. If the investment manager fails to fulfill its management duties and causes material losses to investors, the issuing bank shall bear joint and several liability.

3. The product's raised funds are held in an independent custody account with China Construction Bank. Investment operations and fund settlement are fully segregated, preventing any risk of misappropriation by the manager.